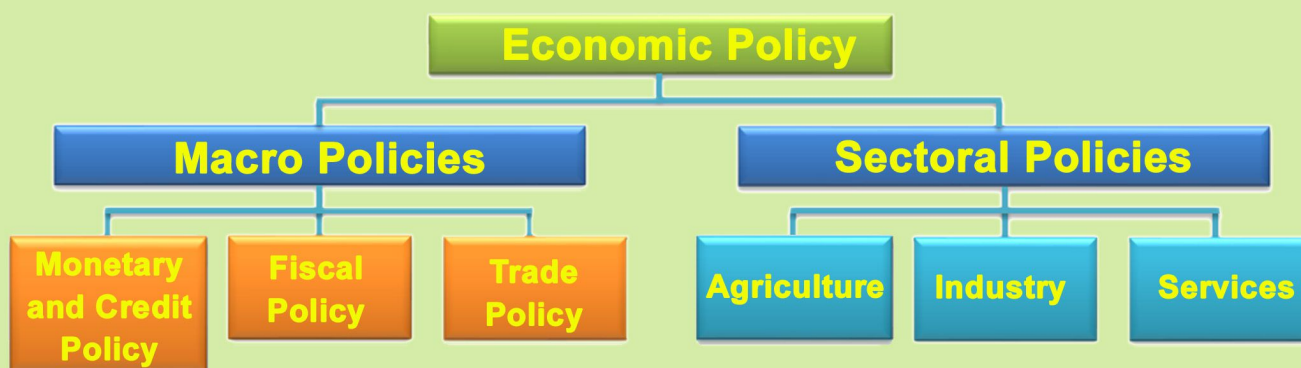




Issues of Concern

1. Poverty and Inequality
2. Unemployment
3. Regional Disparities
4. Malnutrition
5. Social Security
6. Good Governance



VOLUME-III

(Block 5 and 6)

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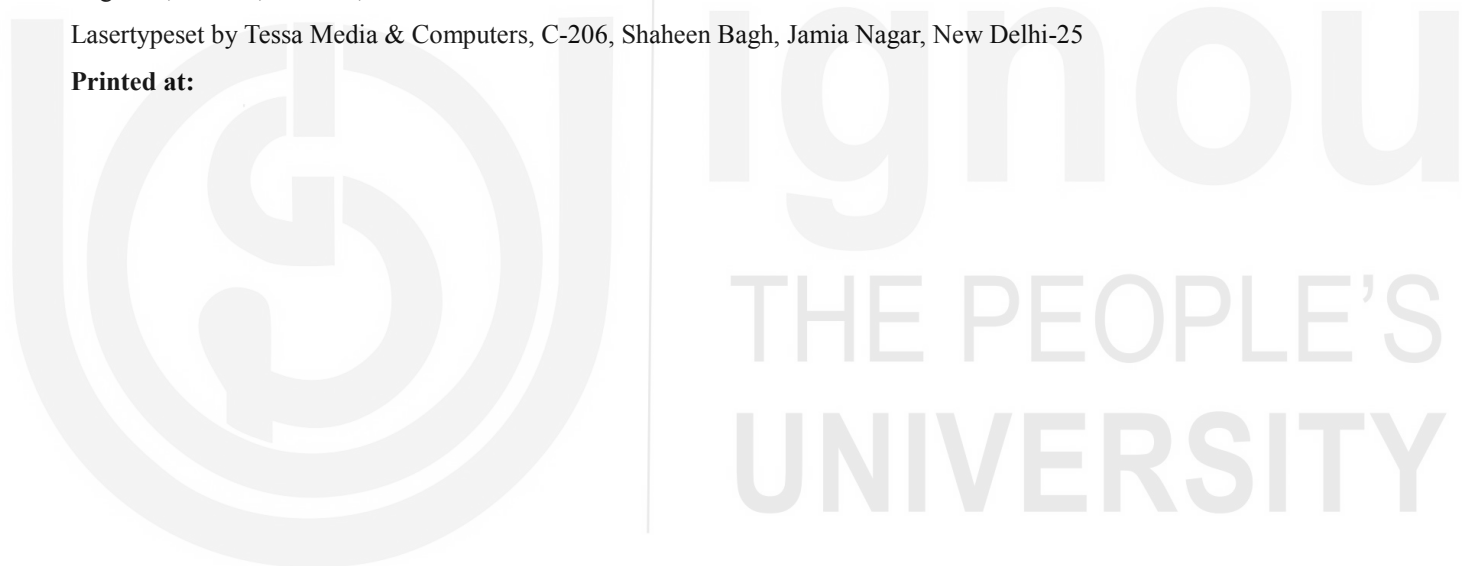
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BLOCK 5
EXTERNAL SECTOR AND TRADE POLICY

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BLOCK 5 EXTERNAL SECTOR AND TRADE POLICY

In the post economic reforms period, external sector in the economy has gained prime importance. Foreign trade contributes to economic development in number of ways. Hence, the external sector and trade policy constitutes the subject matter of this block. The block comprises of **three units**.

Unit 18 entitled **Trade Policy** throws light on the characteristics of international trade and status of the Indian trade prior to and post 1991 reforms. Various instruments of Trade policy with special reference to the developing nations have been highlighted. Emerging trade issues, along with the policy response to them in the form of FDI policy have also been spelt out in this unit.

Unit 19 entitled **Foreign Trade and Balance of Payment** discusses the role of foreign trade in economic development of a country. The Unit also examines India's foreign trade and the changes in its direction and composition. The country's Balance of Payment position, and the policy framework adopted for restoring the balance of payments have also been discussed.

Unit 20 on **Foreign Capital** analyses the role of foreign capital in the growth process of a developing economy. It discusses the types, the sources of foreign capital and the evolution of India's policy with respect to the foreign capital. The composition, trend, sources and destinations of overseas foreign direct investment in the context of Indian economy have also been examined.

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